

ACCOUNTS RECEIVABLES ANALYSIS

Broad questions we try and answer whenever we analyze Accounts Receivables for any given company.



How large is Accounts Receivables out of total company's assets?

How many days credit is extended to the debtors?

How much bad debt is being written off each year?

How much is the company provisioning for bad debt?

The financial health of the debtors or quality of debtors

Actual credit terms vs DSO

So, the biggest question in this Account receivable analysis is why the DSO is increasing. We will look for answers by talking to the management, competitors or people on ground to understand this.

In the next section, we will discuss Inventory.